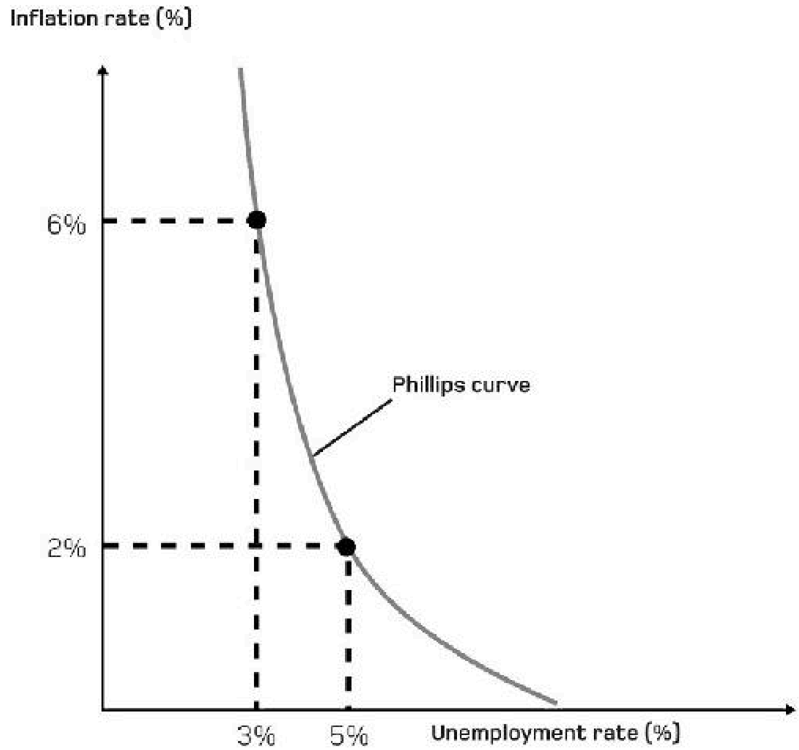
The Phillips curve

In the 1950s, New Zealand-born economist Bill Phillips identified an inverse relationship between inflation and the rate of unemployment. When inflation was high, unemployment was low and when inflation was low, unemployment was high. The explanation for this relationship was that when the economy was booming and lots of people were in work, demand would be high, and this high demand for goods and services would push up price levels. Conversely, when unemployment was high and the economy was in a downturn, demand for goods would be weak and prices would fall.

Through much of the postwar period, economists took the Phillips curve to mean that there was a stable long-term trade-off between unemployment and inflation. By regulating economic activity through fiscal and monetary policy, it was believed that the government could effectively ‘pick a point’ on the Phillips curve, choosing a bit less unemployment and a bit more inflation, or vice versa.


Inflation rate (%)
6%
2%
Phillips curve
3%
5%
Unemployment rate (%)